



Kenya Certificate of Secondary Education (KCSE)

565/1

BUSINESS STUDIES

PAPER 1

MARKING SCHEME

1. Reasons why one may start a business.
 - a) To earn profit
 - b) To create employment
 - c) To provide goods and services
 - d) For prestige purpose (to ones image)
 - e) To become an owner-boss
 - f) To earn government revenue. (1 x 4 = 4mks)
2. Features of goods.
 - a) They are tangible and can be felt
 - b) They can be stored
 - c) They are seperable from their producers
 - d) Their quality can be standardized
 - e) Goods can be possessed (Transferable)
 - f) They can be change in quality over time
 - g) They are visible. (1 x 4 =4 mks)
3. Types of utility
 - a) Place
 - b) Time
 - c) Possession
 - d) Form (1 x 4 = 4 mks)
4. Factors that discourage entrepreneurial development.
 - a) Inadequate raw materials
 - b) Poor infrastructure
 - c) Political instability and violence
 - d) Inadequate relevant courses in learning institution
 - e) Inadequate government support
 - f) Unsupportive culture
 - g) Insecurity. (1 x 4 = 4 mks)
5. Qualities of an office worker
 - a) Well groomed/ presentable
 - b) Courteous/ respectful/ polite/ humble/ kind
 - c) Honest/ trustful/ faithful
 - d) Co-operative/ understanding
 - e) Discrete/keeps secrets/disciplined
 - f) Punctual
 - g) Hard working/ industrious
 - h) Diplomatic/ well behaved
 - i) Obedient/loyal/have ability to follow instruction (1 x 4 = 4 mks)
6. Characteristics of road side traders
 - a) Owned by one person
 - b) Small in size
 - c) Easy to start with few legal requirements
 - d) Relative require little capital to start and operate
 - e) Sell fast moving goods
 - f) Operate in open air



- g) Located all over the country
 h) Are flexible
 i) Sell non-durable consumer goods. (1 x 4 = 4 mks)
7. Advantages of partnership over sole proprietor
 a) They share business ideas unlike sole proprietor
 b) They share and liabilities unlike sole proprietor
 c) Bring different talents into the business unlike sole proprietor
 d) Raise more capital compared to sole proprietor
 e) Sharing of work among partners unlike sole proprietor
8. The role of consumer organizations in consumer protection.
 a) Deal with consumer complaints
 b) Making sure goods are not hoarded
 c) Ensuring that weights and measurement of commodities are collect.
 d) Ensuring health and safety regulations are adhered to.
 e) Ensuring fair prices are charged.
 f) Ensuring essential goods and services are available.
 g) Educating consumers on their rights.
 h) Seeking legal redress against the offenders.
9. Circumstances under which containerization may be suitable in the transportation of goods.
 a) Availability of loading and off loading facilities
 b) Where safety or security of goods is of major concern.
 c) Where goods in each container are destined for a specific destination.
 d) Where goods transported are regular in nature.
 e) Where the goods need special attention.
 f) Where a firm can be able to raise the capital required.
10. Services that facilitate communication
 a) Mail services eg Securicor, courier, broadcasting service
 b) Electronic media eg radio station and TV
 c) Print media eg newspaper journal
 d) Telephone services eg Yu, Zain and Safaricom
 e) Internet service provided by Nairobi Net
 f) E-mail (1 x 4 = 4 mks)
11. Importance of aware housing to a trader importance of aware housing to a trader
 a) Enhances steady flow of goods
 b) Protection of goods from theft and physical damage
 c) Meets unexpected demand
 d) Ensure production
 e) Enable preparation of goods for sale
 f) Enable the traders to look for market
 g) Some goods improve in quality while in warehouse
 h) Encourages specialization/ separates of production and distribution. (1 x 4 = 4 mks)
12. Compensation = $\frac{\text{True value of the property}}{\text{Sum insured}} \times \text{loss}$

$$= \frac{300,000 \checkmark 1}{400,000 \checkmark 1} \times 200,000 \checkmark 1$$

$$= 150,000 \checkmark 1 \quad (4 \text{ mks})$$
13. After sale services a computer firm may offer its customers.
 a) Transport
 b) Installation
 c) Repairs
 d) Advice on use of computers. (1 x 4 = 4 mks)



14. Reasons why demand curve of good usually slopes downwards from the left to the right
 a) Demand increases with a decrease in price
 b) Demand decreases with an increase in price
 c) (1 x 3 = 3 mks)
15. Why small scale firms are more popular in Kenya than large scale firms.
 a) Simple to organize
 b) Nature of product sold eg nursing
 c) There is quick decision making
 d) Owners have control and independence
 e) Due to legal constraints
 f) Easy management
 g) They have low production cost
 h) They are flexible. (1 x 4 = 4 mks)
16. Sources of oligopoly power
 Barriers to entry by
 a) Huge initial capital investment requirement to start the industry
 b) Ownership of right patent right by the techniques firm.
 c) A few firms have control over source of raw material.
 d) Aggressive entrepreneurs who use ruthless strategies to force rival firms out of the industry
 e) Large economies of scale which enable firms to produce at low cost and sell at relatively low prices forcing their rival firms out of the market. (1 x 4 = 4 mks)
17. Compute the table below.

	Assets	Liabilities	Capital
a.		83360	
b.	205300		
c.			182900
d.		513500	

- (1 x 4 = 4 mks)
18. Problems associated with income approach method of measuring national income.
 a) Fluctuation of prices of commodities
 b) Income from illegal commodities not included.
 c) Computation error.
 d) Double counting error.
 e) Problem of calculating of depreciation of an item to get the right income.
19. Measures that can be taken by the government to solve unemployment problem in Kenya
 a) Check population growth rate
 b) Education reforms
 c) Use appropriate technology (Labour intensity)
 d) Maximum utilization of local natural resources
 e) Development of informal sector/ provision support of terms of training, marketing, credit.
 f) Rural development
 g) Organized mobility of labour
 h) Decentralization of industries
 i) Favourable government policies.
 j) Encourage more direct foreign investment



k) Increasing government expenditure on projects.

(1 x 4 = 4 mks)

20. For each of the following transactions indicate the account to be debited and an account to be credited.

Transaction	Account to Debit	Account to Credit
	Cash a/c	Capital a/c
	Purchases a/c	Mwangaza a/c
	Motor vehicle a/c	Kwanza Motors vehicle a/c
	Mwangaza a/c	Cash a/c

(½ x 8 = mks)

21. KENYANYA TRADERS
Trial balance as at 31st Aug, 2007.

ACCOUNT	DR	CR
Premises	1,200,500	
Motor vehicle	700,000	
Cash in hand	100,000	
Capital		1,500,000
Loan		430,500
Creditors		70,000
	<u>2,000,500</u>	<u>2,000,500</u>

22. Importance of trading account

- Shows the cost of goods sold
- Shows revenue generated from sales
- helps in determining gross profit/ gross loss
- Assist in comparison of performance on profitability of a firm over different years.

(1 x 4 = 4 mks)

23. Methods of credit control used by the central bank of Kenya.

- Bank rates
- Special deposit/ Compulsory deposit
- Open market operation (OMO)
- Selective credit control
- Cash ratio
- Moral suasion
- Direct action

(1 x 4 = 4 mks)

24. Uses of public finance.

- To provide essential goods and services
- To control consumption of certain products
- Encourage consumption of certain commodities
- To promote balanced regional development
- To redistribute wealth
- To promote economic stability
- To create a conducive business environment
- Raise revenue for the government.

(1 x 4 = 4 mks)

25.

Transactions	Journal entry
1) Bought a business bicycle on credit	General Journal
2) Returned 10 cartons of milk to Makanyango previously bought on credit	Purchases/ Returns outward Journal
3) Receive one tray of eggs from lilian for sale and did not pay.	Purchases Journal
4) Sold goods to Habiba on credit	
5) Bought goods from Karitu and paid on spot	Cash payment/ Dispasment Journal

